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Instead of 'V' shaped or 'W' shaped, we should call it 'O' shaped recovery, meaning we go round and round in circles.



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It's a myth that we introduced a stimulus which was counter-cyclical and India weathered the worst of the crisis.

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BIBEK DEBROY

Professor, Centre for Policy Research and IMI

Debroy: It is agri-inflation and I think the Government should not push for a kneejerk monetary policy response and hike rates.

Kumar: Of course, this is agri-inflation. I would say no to a monetary policy response but a very strong yes, an urgent yes for that is modernisation of retail and agricultural productivity enhancement.

Bery: The question is somewhat mis-specified because it is not right to talk about agricultural inflation. You can have a relative price change in agriculture and you can have inflation. Now the problem is the way in which we measure inflation in terms of year on year is not picking up. So, is what going on here a relative price adjustment or generalised inflation? It has been going on long enough. Given where the economy is at the moment, given the risks to the

the interest rates.

Goyal: The stimulus, the tax cuts were very helpful and those should be the last to go. Then the composition of government expenditure is very important shifting it more towards infrastructure capital which has long-term effects. The other thing is the question of fiscal deficit. Somebody said that it was not policy, it was just luck. Much of the government expenditure which served as a stimulus, consumption expenditure, Pay Commission, etc is temporary and will be reversed. So that need not continue. What it should not do is increase subsidies and consumption expenditure.

Ranade: What it must do is try and get GST rolling out very quickly and second point, kick-start the roadways programme, get it back to the speed it was three or four years ago. What it must not do is exit from the excise tax cuts, let the excise tax cuts remain. So what it must not do is not exit from the stimulus quickly.

Debroy: So far as the stimulus is concerned, I want to make this distinction; there are two parts, one is the tax part stimulus and another is the expenditure stimulus. The tax stimulus, I think, will go and it should go; there is no problem with that. The government expenditure stimulus was undesirable to start with; it should not happen, it should not increase certainly. But is the Government likely to continue to do that? Yes. On infrastructure, it is not an issue of money because most of the projects are stuck because of other reasons such as gestation lags, procedural problems etc.

Aiyar: So your one-line prescription for that would be: fix the procedural issues.

Debroy: It should not increase the public expenditure, but since it is going to increase this, what it should do is try to improve the efficiency of that expenditure.

Kumar: What the Government should do is take away this policy uncertainty on retail and announce a clear policy, and let retail get modernised.

Chawla: You are talking about FDI in retail.

Kumar: Even the entry of large corporate houses is under a cloud all the time; it is not really free. In fact they should encourage that. That is the first thing which will help agriculture. Second, the Government must review the implementation of NREGA because NREGA is raising agricultural labour costs without the commensurate benefit in terms of productivity whether in infra-

economy, I would privilege growth and would not adjust monetary policy at this time even if my diagnosis is that this is inflation rather than a relative price change.

Dev: Rising inflation, hardening interest rates and impact on government expenditure due to high fiscal deficit can choke growth. In order to continue growth story, they should continue the present policies of stimulus at least till the first quarter of next fiscal, particularly interest rates.

WHAT GOVERNMENT SHOULD DO

And what the Government should not do

Roy: It should first focus on infrastructural investment. But before that it must remove irritants like land acquisition problems and focus on wooing investment in these sectors. The Government should not raise